

Organisational Culture

GLOSSARY 02 - SHEET 4 / 8

The pattern of shared basic assumptions a group has learned and teaches to new members

PROFESSIONAL DEFINITION

Organisational culture is the pattern of shared basic assumptions that a group learned as it solved its problems of external adaptation and internal integration, which has worked well enough to be considered valid and is therefore taught to new members as the correct way to perceive, think and feel in relation to those problems. It operates on three levels: visible artefacts, espoused values, and the underlying assumptions that actually govern behaviour (Schein, 1985).

WHO DEFINED IT ORIGINALLY

Edgar H. Schein developed the three-level model at the MIT Sloan School of Management and published it in *Organizational Culture and Leadership* (1985), drawing on clinical fieldwork rather than survey instruments. Competing operational traditions include Hofstede's (1980) dimensional measures and the Competing Values Framework of Cameron and Quinn (1999).

WHY THIS DEFINITION WAS DEVELOPED

Culture was being described through visible artefacts - offices, rituals, slogans - which changed readily and predicted nothing. Schein needed a model that explained why organisations revert after visible change, and located the answer one level down, in unexamined assumptions that members cannot articulate because they are not aware of holding them.

FIGURE 1 - THE THREE LEVELS OF CULTURE

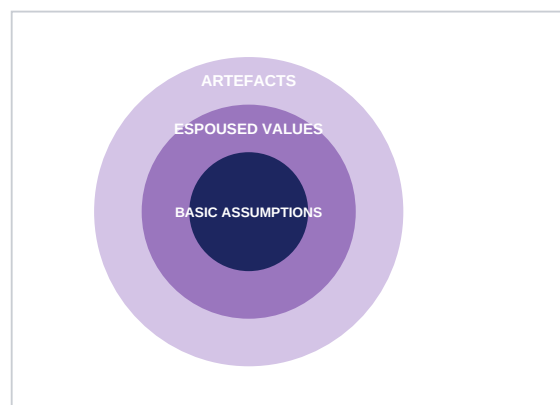


Figure 1. Only the outer ring is visible and only the inner ring is causal. Change programmes that alter artefacts and restate values while leaving the assumptions untouched produce reversion once attention moves elsewhere (after Schein, 1985).

HOW IT IS USED

Read the artefacts, elicit the espoused values, then look for the gap between what is espoused and what is done; the gap is where the operative assumption sits, and it is that assumption, not the value statement, that will govern behaviour under pressure.

WHEN IT IS USED

Before designing an AI adoption programme, during post-merger integration, when a stated value is contradicted by an observed decision, and when a change initiative has produced visible compliance without behavioural change.

BY WHOM IT IS USED

Executives sponsoring change, organisation development practitioners running the diagnosis, integration leads after acquisition, and adoption leads explaining why a technically sound system is not being used.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

The predecessor tools were climate surveys, which measured how members currently felt in aggregate and were sensitive to recent events. Schein's model is structural rather than affective: it distinguishes what is displayed, what is claimed, and what is assumed, and locates causal force in the third level only. This explains a class of failure that climate instruments cannot - the organisation whose survey scores improve while its behaviour does not.

RELATED DEFINITIONS IN THIS COURSE

[Psychological Safety - Unit 2](#)
[Change Leadership - Unit 2](#)
[Change Management - Unit 4](#)
[Digital Maturity - Unit 1](#)
[AI Adoption - Unit 4](#)

SOURCES (HARVARD REFERENCING STYLE)

Cameron, K.S. and Quinn, R.E. (1999) *Diagnosing and Changing Organizational Culture*. Reading, MA: Addison-Wesley.
 Hofstede, G. (1980) *Culture's Consequences: International Differences in Work-Related Values*. Beverly Hills, CA: Sage.
 Schein, E.H. (1985) *Organizational Culture and Leadership*. San Francisco, CA: Jossey-Bass.
 Schein, E.H. and Schein, P. (2017) *Organizational Culture and Leadership*. 5th edn. Hoboken, NJ: John Wiley & Sons.